VIDEO RECORDING FOR CREDIT ANALYST

Green Solutions Manufacturing Ltd.
Industry, Macroeconomic & Creditworthiness Assessment

Prepared for: Darren, Credit Officer
Prepared by: Ugochukwu Joshua Toluwaleke, Credit Analyst
Standard Chartered Bank
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Good morning Darren,

I am presenting the findings from my financial analysis of Green Solutions Manufacturing Ltd., together with industry and macroeconomic research relevant to the company's credit profile. The purpose of this presentation is to assess the company's financial strength, identify the principal risks and opportunities affecting debt-servicing capacity, and highlight the factors I would consider before extending additional credit.

Introduction

Green Solutions Manufacturing Ltd. is a long-standing client operating in the sustainable drinkware sector, producing reusable bottles and coffee cups. The company has expanded its operations and is investing significantly in sustainability-related capital expenditure, with the current request for additional borrowing intended to support further sustainability initiatives.

My assessment combines the 2022–2023 financial information provided for the credit review with industry research on reusable water bottles and coffee cups and a macroeconomic review of the UK environment. The analysis therefore considers both the company's demonstrated financial capacity and the external conditions that could affect future cash generation and repayment capacity.

Quantitative Analysis

The financial analysis shows a material improvement in operating performance between 2022 and 2023. Revenue increased by 70.7%, from £31.5 million to £53.8 million, while gross profit increased by 105.2%, from £6.6 million to £13.6 million. EBITDA increased by 269.8%, from £1.5 million to £5.5 million, and EBITDA margin more than doubled from 4.7% to 10.3%. Operating margin also increased from approximately 6.3% to 12.1%. These movements indicate substantially stronger operating profitability.

Bottom-line performance also strengthened. Profit before tax increased by 449.6%, from £1.2 million to £6.3 million, while profit after tax increased by 554.8%, from £0.9 million to £5.6 million. Interest expense fell by 50.4%, from £748 thousand to £371 thousand. Consequently, EBITDA net interest cover improved from 2.08x to 17.53x, indicating a significantly stronger ability to service interest from operating earnings.

The balance sheet also strengthened in several respects. Total assets increased by 19.2% to £62.1 million, while total liabilities increased by only 7.5% to £30.5 million. Net worth increased by 34.5% to £31.0 million. The leverage metric reduced materially from 7.82x to 1.24x, indicating a substantial improvement in the relationship between debt and profitability.

However, liquidity requires continued monitoring. The current ratio declined from 1.88x to 1.38x, while the quick ratio fell from approximately 1.49x to 1.00x. Cash decreased by 9.3%, from £19.4 million to £17.6 million. Inventory increased by approximately 40.4%, from £4.1 million to £5.8 million, placing additional working-capital requirements on the business.

Cash generation from operations was a significant strength: net operating cash flow increased by 92.6%, from £5.9 million to £11.4 million. However, capital expenditure increased by approximately 147%, from £3.2 million to £8.0 million, and free cash flow remained negative, deteriorating from approximately -£3.2 million to -£8.0 million. This is important from a credit perspective because the company is generating stronger operating cash but is simultaneously committing substantially more cash to its investment programme.

Industry Research

The industry evidence points to a structurally supportive demand environment for reusable drinkware. The supplied reusable water bottle market research estimates a global market size of approximately US$8.8 billion in 2024 and projects growth to more than US$11.5 billion by 2034, representing a 2.8% CAGR. The research identifies environmental concerns, government action against single-use plastics, health consciousness and product innovation as key demand drivers.

The water bottle market is also becoming more differentiated. The research highlights growing consumer interest in stainless steel, glass and other sustainable materials, together with smart hydration features, customisation and design-led products. At the same time, competition remains significant because established brands benefit from brand recognition, distribution networks and economies of scale, while startups compete through sustainability, convenience and innovation.

The supplied reusable coffee cup research forecasts the global market to grow at a 5.8% CAGR through 2031, with market revenue projected to increase from approximately US$13 billion in 2019 to nearly US$25 billion by 2031. The research identifies plastic-waste reduction and increased use of reusable cups as important growth drivers and identifies Europe as a major regional market. It also lists a range of established competitors, demonstrating that Green Solutions operates in a competitive market rather than a protected niche.

For Green Solutions, these trends create a potential opportunity to benefit from growing demand for sustainable drinkware, particularly if the company's investment programme strengthens product quality, innovation, customisation and sustainable materials. However, industry growth does not remove execution risk: the company must convert market growth into profitable sales while managing production costs, inventory, competition and capital expenditure.

Macroeconomic Analysis

The macroeconomic environment in the project's 2024 assessment period is mixed. The Bank of England maintained Bank Rate at 5.25% through June 2024, while UK CPI inflation had fallen to 2.0% in May 2024. This represents a substantial improvement from the inflation peak of 11% in 2022, but monetary policy remained restrictive and the Bank noted that underlying inflation pressures were still elevated.

For Green Solutions, lower inflation can reduce pressure on input costs and support more predictable pricing. However, the high interest-rate environment increases the cost of new borrowing and creates refinancing and debt-service risk. This is particularly relevant because the company is seeking additional borrowing while its free cash flow is negative due to elevated capital expenditure.

The Bank of England also reported that UK GDP had grown more strongly than expected during the first half of 2024, although business surveys indicated slower underlying growth of around 0.25% per quarter. This suggests an improving but still cautious demand environment. A slowdown in consumer or business spending could affect demand for discretionary sustainable drinkware, making revenue conversion and margin protection important considerations.

Regulation is another supportive structural factor. UK government guidance introduced restrictions and bans on certain single-use plastic items in England from 2024 and explicitly identifies reusable alternatives such as

ceramic, metal and glass as alternatives where appropriate. This regulatory direction is consistent with the industry's sustainability-driven demand trends, although the direct benefit to Green Solutions will depend on its products, markets and compliance requirements.

Key Findings

Overall, the quantitative analysis shows a substantially stronger financial position in 2023. Revenue, profitability, operating cash flow, interest cover, leverage and net worth all improved materially. In particular, the increase in EBITDA from £1.5 million to £5.5 million and the improvement in interest cover from 2.08x to 17.53x provide evidence of significantly stronger debt-servicing capacity based on the historical financials.

The principal credit concern is the funding profile of the company's expansion and sustainability investment programme. Capital expenditure increased by approximately 147%, free cash flow deteriorated to approximately -£8.0 million, cash declined by 9.3%, and the current ratio fell to 1.38x. Therefore, although operating performance has strengthened, additional borrowing could increase liquidity and refinancing pressure if investment returns or operating cash flows do not develop as expected.

The external environment provides both support and risk. Industry growth, sustainability preferences and regulation favour reusable drinkware demand, while product innovation provides opportunities for differentiation. Conversely, competition, input-cost pressures, slower economic growth and elevated borrowing costs could constrain margins and cash flow.

From a credit-risk perspective, the key questions for further due diligence are whether the proposed sustainability investment will generate sufficient incremental earnings and cash flow, the expected timing of those returns, the maturity and pricing of the proposed borrowing, and whether the company's liquidity remains adequate under downside scenarios. The available information does not provide sufficient detail on collateral coverage, formal credit history, facility terms or forward management projections, so these items should be confirmed before final facility approval.

Conclusion

Green Solutions demonstrates materially improved profitability, operating cash generation, interest coverage and leverage, while the sustainable drinkware industry provides supportive growth drivers. The principal areas for continued monitoring are liquidity, the significant increase in capital expenditure, inventory management and the company's ability to sustain cash generation as investment levels remain elevated. Subject to satisfactory review of the proposed facility terms, cash-flow forecasts, collateral and credit history, the financial and industry evidence supports continued consideration of additional credit.

Key Sources Used

- Task 1 financial analysis and Accounting Ratios Workbook supplied for the Standard Chartered Forage project.
- Global Reusable Water Bottle Market, Future Market Insights, 29 February 2024.
- Global Reusable Coffee Cup Market Outlook 2031, Research and Markets, 14 February 2023.
- Bank of England, Monetary Policy Report / Monetary Policy Summary, May–June 2024.
- UK Government, Single-use plastics bans and restrictions, published January 2024.